

Before the
FEDERAL MARITIME COMMISSION

Docket No. 22-23

MARINE TRANSPORT LOGISTICS, INC. v. CMA CGM, S.A.

**RESPONDENT’S APPEAL FROM DISCOVERY RULING ADDRESSED TO
PERSONS AND DOCUMENTS LOCATED IN A FOREIGN COUNTRY**

Respondent CMA CGM, S.A. (CMA or Respondent) hereby appeals as of right pursuant to 46 C.F.R. 502.150(d) from the March 28, 2023 Order of the Presiding Officer (Order)(Exhibit 1) requiring CMA, a French company, to produce documents owned and/or located in France. This Order was issued despite an express notice from the Service de l’Information Stratégique et de la Sécurité Economiques (SISSE) of the French Ministry of Finance to CMA (Exhibit 2) warning that production of the requested documents (including via CMA’s U.S. subsidiary CMA CGM (America), LLC (CCA)) is subject to the French Evidence Law and that production of documents without going through the procedures required by the French Evidence Law would subject CMA personnel to criminal sanctions in France, including six months’ imprisonment.¹ In requiring CMA to produce the documents, the Presiding Officer declined CMA’s request that she use an easy and quick procedure, agreed to by the United States and France under the Hague Convention, that would allow Complainant to obtain the documents in short order without subjecting anyone to criminal sanctions.²

¹ We note in this respect that SISSE is required by law to report any unauthorized production to the French prosecutor.

² Had the Presiding Officer used Hague Convention procedures, it is likely that Complainant would already have the documents.

CMA renews that request here, and proposes an even easier, alternative procedure for obtaining the documents -- Chapter II Article 17 of the Hague Convention. Convention on the Taking of Evidence Abroad in Civil or Commercial Matters, 1970 U.S.T. LEXIS 497, *30, 23 U.S.T. 2555. Under the procedure of Chapter II Article 17, the FMC would simply appoint a “Commissioner,” who would supervise the production of documents under authority delegated to the Commissioner by SISSE. CMA has already identified an extremely qualified, highly experienced person who would be willing to act in that capacity. Professor Noëlle Lenoir³ is a recognized practitioner who has acted as a Commissioner many times and has been appointed by at least one U.S. court as an expert advisor. *Behrens v. Arconic, Inc.*, 2020 U.S. Dist. Lexis 44581 at *7 (E.D. Pa. 2020). CMA would bear the expense of using the procedure.

Use of the Chapter II, Article 17 procedure would allow Complainant Marine Transportation Logistics, Inc. (MTL or Complainant) to receive the documents promptly. Professor Lenoir would supervise discovery of the documents; CMA would produce the documents to her, and she would review them for rapid production to Complainant.⁴

CMA wishes to make clear that it is not seeking to evade the production of documents. Quite to the contrary, CMA has committed, and remains committed, to producing documents that are responsive, non-privileged, and not otherwise subject to objection. Indeed, CMA has gathered documents and is prepared to produce them to the Commissioner once appointed. She may be expected to review the documents promptly, so that they can be produced to Complainant

³ *Curriculum vitae*, Professor Noëlle Lenoir (Exhibit 3).

⁴ A draft *Letter of Request for International Judicial Assistance in the Appointment of a Commissioner Pursuant to the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil of Commercial Matters* is included herewith as Exhibit 4.

as soon as possible. The only thing CMA will not do is subject its personnel to criminal sanctions without exhausting every available option and avenue for judicial review.

I. FACTUAL AND PROCEDURAL BACKGROUND

On September 7, 2022, MTL filed a complaint with the FMC against CMA's agent CCA. This complaint was followed by a denied motion to file an amended complaint, and then (on December 8, 2022) by a revised Amended Complaint, which added CMA as a Respondent. Finally, on December 29, 2023, the Presiding Officer authorized a joint motion of the Parties to substitute CMA for CCA (December 29 Order).⁵ As the December 29 Order explains, CMA, as part of the substitution, agreed that "as the parent of its agent CCA, it will be liable for the actions of CCA and for any reparations or other relief that may be awarded by the FMC in this proceeding and to make available any discovery sought regarding actions by CCA." CMA stands by that commitment.

In accordance with the Scheduling Order issued by the Presiding Officer on January 31, 2023,⁶ the Parties exchanged written discovery requests on February 6, 2023.

On or about March 1, 2023, the undersigned U.S. Counsel for CMA learned from French Counsel that the French Evidence Law had recently (March 2022, effective April 2022) been amended to strengthen its enforcement. Under this new enforcement regime, CMA is required to promptly report to SISSE any discovery request made to CMA (or its subsidiaries) in a foreign

⁵ Further references herein to the Complaint mean the Amended Complaint, as revised to show only CMA as a party.

⁶ The Order repeatedly states that CMA failed to provide discovery in six months; that characterization is not accurate. The Complaint (as amended) was not final until December 29, 2022, and the Presiding Officer's own Order provided for the Parties to serve requests on February 6, 2023 and objections/responses on March 9, 2023. CMA has complied with that schedule.

court or agency. Production of discovery by either CMA or CCA, without prior notice to and review by French authorities could violate French law and subject CMA and its personnel to criminal sanctions, including imprisonment. CMA accordingly reported MTL's document requests to SISSE and Counsel for CMA promptly informed Counsel for MTL by email dated March 1, 2023, stating, *inter alia*:

We have just learned today that the discovery requested by MTL is subject to a French criminal statute restricting discovery responses in the U.S. French authorities have verbally confirmed its application to the discovery here (to be followed by a letter, we hope next week) and explained how the issue can be addressed to obtain the approval necessary for legal release.

Counsel for CMA further proposed a conference with MTL's Counsel, at his convenience, to address a possible joint motion and other matters intended to make the process go smoothly. Counsel for MTL declined to talk, stating that he had no interest in doing so until a formal response was received from SISSE.

That formal response was issued by SISSE in the form of a letter both in French and English dated March 8, 2023, which CMA sent to MTL's Counsel the same day. Letter of Thomas COURBE (Commissaire a l'Information Stratégique et de la Sécurité Economiques, Ministere de L'Economie, des Finances et de la Souverainete Industrielle et Numerique, Direction generale des Enterprise) to Guillaume HECKETSWEILER (General Counsel CMA CGM, S.A.), dated March 8, 2023 (Exhibit 2). SISSE's letter affirmed that production of the requested documents at issue was subject to the French Evidence Law, that it did not matter if the request were addressed to CMA or CCA, and that unapproved production of the requested documents by CMA or CCA would subject CMA and/or its personnel to criminal sanctions. The letter also set out how criminal sanctions could be avoided: by using the procedures set out in the

Hague Convention, which includes the appointment of a Commissioner to supervise the taking of discovery.

That same day, CMA's Counsel conferred with MTL's Counsel, as required by the FMC's Rules, about a motion to extend discovery and to ask the Presiding Officer to employ the procedures of the Hague Convention so CMA could produce the requested documents. Counsel for MTL declined to consent, so CMA filed the motion on its own the very next day, March 9, 2023.

Also on March 9, the Parties exchanged responses and objections to written discovery requests, as required by the Procedural Schedule. MTL served (deficient) responses/objections on CMA and CMA served responses/objections on MTL, along with statements that CMA will produce relevant, non-privileged documents once it is cleared to do so by French authorities.⁷

CMA's March 9 motion was focused on the request for an extension of time, with only limited reference to the matter of using the procedures set forth in the Hague Convention. Accordingly, there was no cause for CMA to address such matters as: (i) the legal requirement that the FMC use diplomatic procedures, (ii) that use of such procedures is necessary as a matter of comity, and (iii) that sound administrative policy would be furthered by use of such procedures, to allow production of the requested documents as soon as possible. Nor did Complainant address those issues in its opposition.

As summarized in the Order, MTL filed an opposition to the motion on March 16, and on the same day CMA filed a motion for leave to reply. The March 28 Order that is

⁷ Marine Transport Logistics, Inc. Request for Documents, served February 6, 2023 and CMA CGM, S.A. Responses (served March 9, 2023) (Exhibit 5).

the subject of this appeal then ensued. In that Order, the Presiding Officer declined to use the Hague Convention, effectively requiring CMA to make a choice between the Scylla of violating French criminal law or the Charybdis of suffering severe sanctions in this proceeding, up to and including a judgment by default. In this respect, the Presiding Officer ordered CMA “to provide responses to MTL’s discovery requests by April 12, 2023” (even though CMA had already responded to those requests on March 9).

II. SUMMARY OF FRENCH LAW

A. The French Evidence Law

The French Evidence law is explained in quite some detail in pages 16-54 of Exhibit 6 (a declaration of Jonathan Brightbill, Esq.) by an explanation of Professor Noëlle Lenoir, previously submitted in *Kashef v. BNP Paribas S.A.*, No. 1:16-cv-03228-AKH-JW (S.D.N.Y. 2016) on April 8, 2022. For purposes of this appeal, however, the salient points may be summarized as follows:

1. The French Evidence Law is not properly described as a blocking statute, but rather as a law of international cooperation regarding the taking of evidence. The category of documents that French authorities may actually prevent from being produced is extremely limited. Under Article 1 of the French Evidence law, the only documents as to which production may be prohibited are those classified as “sensitive” data, disclosure of which would cause significant harm to the company holding the data and its affiliates and would have a significant and long-term impact on France’s sovereignty and essential interests. That singular prohibition almost certainly does not apply to any of the documents CMA plans to produce.

2. The French Evidence Law does, however, require foreign nations to respect French sovereignty when a discovery request made in a foreign country seeks production of documents located in France or owned or controlled by a French company.

3. The requirements for obtaining documents covered by French law are not onerous or time-consuming. All that is required is that the U.S. tribunal invoke one of the procedures authorized by the Hague Convention, and a brief wait (around three weeks) before documents may be produced. As noted above, the Hague procedure that Respondent proposes here is that of Chapter II, Article 17 of the Hague Convention, detailed shortly below, under which a Commissioner is appointed to speed the process.

4. CMA cannot by itself initiate the process of cooperation, although it will of course make the documents to be produced available to the Commissioner once appointed. Only the U.S. tribunal (here the FMC) can start the process, and Respondent asks that the Commission do so by appointing Professor Lenoir as Commissioner.

5. French law applies equally whether the documents are to be produced by CMA or CCA. For purposes of those French laws, actions by CCA are deemed to be actions of CMA, because, in the context of this matter, CCA's business activities are limited to acting as agent for CMA. Furthermore, as evidenced by the letter from SISSE (Exhibit 2), these documents are considered under the French Evidence Law to be owned and controlled by CMA.

As also described in the SISSE letter, CMA and its personnel would be subject to penal sanctions, including six months' imprisonment, if either CMA or CCA were to produce documents to MTL other than through one of the procedures allowed by French

law. Further, SISSE would be aware of the transgression and would be compelled by law to report it to the French prosecutor.

B. Chapter II, Article 17 of the Hague Convention

The Hague Convention sets out three separate methods by which one country can obtain the assistance of a second country in securing discovery of information located in the second country or owned/controlled by a resident of that country. The best-known method is for the requesting country to send a letter of request to the other country's government. Although CMA is confident that any letter of request sent by the FMC would be addressed promptly and allow documents to be produced to Complainant soon, there is a better way, which is what CMA now proposes. Chapter II, Article 17 of the Hague Convention authorizes the requesting country to appoint a "Commissioner" (not to be confused with an FMC Commissioner) to supervise discovery in an expedited fashion.⁸ Chapter 2, Article 17 states as follows:

"In a civil or commercial matter, a person duly appointed as a commissioner for the purpose may, without compulsion, take evidence in the territory of a Contracting State in aid of proceedings commenced in the courts of another Contracting State if –

- a) a competent authority designated by the State where the evidence is to be taken has given its permission either generally or in the particular case; and
- b) he complies with the conditions which the competent authority has specified in the permission."

The benefit of using a Commissioner has been recognized by the courts and is a rising trend in judicial proceedings involving foreign discovery. Further, U.S. courts have deemed it appropriate for use in connection with the French Evidence Law. Indeed, such a Commissioner

⁸ There is a third method, appointment of a U.S. diplomatic or consular officer, which as discussed below appears to be the method contemplated by the Shipping Act, but CMA does not suggest that the FMC use that method here.

has recently been appointed in a proceeding involving CMA before the U.S. District Court for the Southern District of Florida, *Ruiz/Damian Odette Blando de Fernandez nee Blanco Rosell, et. al v. CMA CGM S.A. (a/k/a CMA CGM The French Line, a/k/a CMA CGM Group) and CMA CGM (AMERICA) LLC* (Exhibit 8)(hereinafter *De Fernandez, et. al.*).⁹ Similarly, in *Behrens v. Arconic, Inc.*, 2020 U.S. Dist. Lexis 44581 at *21 (E.D. Pa. 2020), for example, the judge concluded that use of a Commissioner was the appropriate way to obtain discovery in France, explaining:

“Although the Convention procedures require an additional step, the process described in the Expert’s Report [Professor Lenoir] is not unreasonably burdensome. Additionally, if the third method discussed in the Expert Report (appointment of a commissioner) is used, the parties likely will be able to commence the process promptly. . . .

In sum, the Hague Convention is a reasonable equivalent to compelling production”

Likewise, in *Salt River Project Agric. Improvement & Power Dist. v. Trench FR SAS*, 303 F. Supp. 3d 1004, 1009, (D. Az. 2018), the court ordered discovery in France to be taken via a Commissioner, stating that Chapter II, Article 17 should be used because it is a “substantially equivalent alternative” to the Federal Rules of Civil Procedure and because “there is little or no reason to require a party to violate foreign law” in circumstances where the “information sought can be easily obtained elsewhere.” Id. at 1008 (quoting from *Richmark Corp. v. Timber Falling Consultants*, 959 F.2d 1468, 1475 (9th Cir. 1992)).

⁹ The Order refers to a prior stage of this proceeding, Order at 3, where the court declined to order a stay of the entire proceeding based on EU/French law. That issue did not specifically address the issue of discovery, but when the court turned to discovery it determined to follow Chapter II, Article 17 of the Hague Convention and appoint a Commissioner. The court did allow for the possibility of discovery against CCA, but only as to matters not within the scope of the French Evidence Law. Here, all of the requested documents are, according to SISSE, covered by that French Evidence Law.

III. ARGUMENT

CMA's argument for reversing and remanding the Order is in three parts. In the first part, we demonstrate that the FMC is legally required to use one of the procedures set out in the Hague Convention to obtain the documents and may not avoid that obligation by simply declining to honor the requirement. In the second part, we show that even if the FMC has authority to circumvent the procedures of the Hague Convention, it would be inappropriate for it to do so here, given considerations of comity. In the third part, we explain that under the present circumstances, comity aside, use of the provisions of Chapter II, Article 17 of the Hague Convention is clearly the easiest way to accomplish production rapidly. Faced with potential criminal penalties in France, CMA CGM will need to exhaust all possible appeals and remedies in the United States before possibly acquiescing to orders requiring violations of French law. As a practical matter, this proceeding can best be advanced by using Chapter II, Article 17 of the Hague Convention to advance the provision of evidence.

A. The FMC Lacks Authority to Circumvent the Hague Convention

As noted by the Presiding Officer, the Supreme Court has held that federal *courts* are not required to invariably use the Hague Convention to pursue discovery of persons and things located in foreign countries, but may instead, after consideration of comity principles, use methods authorized by the Federal Rules of Civil Procedure. *Societe Nationale Industrielle Aerospatiale v. United States Dist. Court for S. Dist.*, 482 U.S. 522 (1987) (“*Aerospatiale*”). We have, after researching the matter, found no case law stating that this federal judicial power also accrues to administrative agencies. Instead, the Supreme Court has been quite chary about allowing the power to avoid the Hague

Convention to be shared beyond the federal courts, holding, for example, that the states (including state courts) have no authority to avoid the Hague Convention:

“[The “language of the Convention is mandatory, as we acknowledged last Term in *[Aerospatiale]*. By virtue of the Supremacy Clause, U.S. Const., Art. VI, the Convention pre-empts inconsistent methods of service prescribed by state law to which it applies. *Volkswagenwerk Aktiengesellschaft v. Schlunk*, 486 U.S. 694, 699 (1988).

Apart from an occasional slip of the pen, the Commission has repeatedly acknowledged that it is not a “court” and does not have the powers of a court of general jurisdiction or a court of equity (which only federal courts possess). Instead, the FMC is a tribunal of specific and limited jurisdiction and authority. As the Commission explained in *International Association of NVOCCs v. Atlantic Container Line*, 25 SRR 734, 743 (1990): “The Commission ‘**is not a court**, and cannot rely on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred upon it by Congress.”

(Emphasis added, quoting in part from *TransPacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962)).¹⁰ To like effect is *COSCO v. DMV Ridgeview, Inc.*, 1991 FMC LEXIS 105 at *24 (ALJ, Admin. Final)(emphasis added), which refers to “the basic doctrine that this Commission is **not** a court of general jurisdiction. Rather it is an administrative agency, which is limited by the powers Congress granted to it in the statutes it administers.” And in *BANFI Products Corporation, et al. -- Possible Violations Of Section 16, Initial Paragraph, Of*

¹⁰ See *Burlington Northern Railroad Company v. M.C. Terminals, Inc.*, 1992 FMC LEXIS 27 (I.D.) (emphasis added) (“It is a fundamental principle of law that an administrative agency is not a court of **general jurisdiction** but operates under jurisdiction limited by the statute which it administers”) adopted in this respect at 1993 LEXIS 31 (FMC). Accord, *International Union of Electrical, etc. v. NLRB*, 502 F.2d 349, 352, 1974 U.S. App. LEXIS 9002, *8 (“An administrative agency possesses no such inherent equitable power, however, for it is a creature of the statute that brought it into existence; it has no powers except those specifically conferred upon it by statute.”)

The Shipping Act, 1916, and Section 10(A) (1) Of The Shipping Act Of 1984, Docket No. 87-14, 1992 FMC LEXIS 63 *5-6 (FMC 1992), the Commission specifically endorsed an ALJ's decision to modify a subpoena to reflect the FMC's limited authority:

“The Commission is well aware of the difficulties faced by Hearing Counsel in investigating activities alleged to have taken place overseas. Such difficulties are compounded if necessary witnesses or documents are also located abroad, and compounded further if the foreign country in question has a blocking statute. These obstacles are part of the history of the Commission's regulation of foreign shipping, see, e.g., *Malpractices Brazil/United States Trade*, 15 F.M.C. at 61, and must be dealt with in a realistic, practical fashion. One fact of life that requires mention is that, even if the subpoenas were reinstated as originally drafted, the Commission could not compel Dr. Rivella to comply with them by travelling to the United States again. Geography aside, the Commission is ***not a court of general jurisdiction*** with contempt powers.”

The Presiding Officer did not identify any provision in the Shipping Act that empowers the Commission to short circuit the Hague Convention. That is hardly surprising, because the Commission has no such power. Indeed, the Shipping Act expressly states the opposite, expressly mandating the steps that the FMC must take when discovery raises an issue of foreign sovereignty:

If, in defense of its failure to comply with a subpoena or discovery order, a common carrier alleges that information or documents located in a foreign country cannot be produced because of the laws of that country, the Commission ***shall*** immediately notify the Secretary of State of the failure to comply and of the allegation relating to foreign laws. On receiving the notification, the Secretary of State ***shall*** promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents. 46 U.S.C.

41108(c)(2).(emphasis added)

The requirement of 46 U.S.C. 41108(c)(2) that the FMC “shall” use consultative processes is not optional. As the Commission itself has recently affirmed, Congress’ use of the word “shall,” rather than “may,” demonstrates that the language is mandatory. See, e.g., *Definition of Unreasonable Refusal to Deal or Negotiate*, 2022 FMC LEXIS 403 (FMC) (“OSRA 2022 amended Section 41104(a) by replacing "may not" with "shall not" to highlight

the mandatory nature of the entire list of common carrier prohibitions”); *Proposed Rule on Unreasonable Refusal to Deal or Negotiate*, 2022 FMC LEXIS 463 (FMC) (“[t]his was revised in OSRA, replacing the words ‘may not’ with ‘shall not. Thus, the prohibition is strengthened, highlighting its mandatory nature”).¹¹ The Shipping Act mandate that the FMC pursue discovery of documents subject to the laws of another country would be effectively nugatory if an administrative law judge could simply ignore it as a matter of convenience. Such an interpretation would be flatly inconsistent with the primary rule of statutory construction “that effect should be given to every part of a statute, if legitimately possible, and that the words of a statute or other document are to be taken according to their natural meaning.”¹²

The language of the Shipping Act is clear and direct. If a common carrier alleges (as CMA has) that information requested of it cannot be produced because of another country’s laws, the FMC “shall” pursue the matter via diplomatic avenues (as it has not yet here). It is of course

¹¹ See, e.g., *APL v. Cyprus Mines Corp.*, 1994 FMC LEXIS 33 at *32-33 (FMC), where the Commission held that the use of the word “shall” in former Section 11(g) required the FMC to award attorney’s fees to a successful claimant of reparations:

“Given the use of the word “shall” in its initial sentence, this provision, on its face, requires an award of attorney’s fees to a successful complainant. It is also noteworthy that Congress, in the same section, used the word “may” when it gave the Commission authority to award additional reparations, not to exceed twice the amount of the actual injury. In its Rules of Practice and Procedure, the Commission has likewise interpreted section 11(g)’s provision for attorney’s fees as mandatory rather than discretionary.”

¹² *Mason v. United States*, 260 U.S. 545, 554, 1923 U.S. LEXIS 2497, *15 (citing *United States v. Mescall*, 215 U.S. 26. See, e.g., *Danciger v. Cooley*, 248 U.S. 319, 326; *Higler v. People*, 44 Mich. 299; *United States v. First National Bank*, 190 Fed. 336, 344). And, as recently stated in *Bittner v. United States*, 215 L. Ed. 2d 1, 19, 2023 U.S. LEXIS 1038, *34 (2023), “[t]he ‘normal rule of statutory interpretation’ is that ‘identical words used in different parts of the same statute are generally presumed to have the same meaning.’” (quoting *IBP, Inc. v. Alvarez*, 546 U.S. 21, 34 (2005)).

unnecessary for the FMC to bring the State Department into play, as the documents may (and will) be promptly produced if the FMC simply appoints a Commissioner as proposed by CMA.¹³

Accordingly, the sending of a request for cooperation is not only the easiest way to allow MTL access to the documents, but also the way mandated by law.

B. International Comity Requires Use of the Hague Convention

Even assuming *arguendo* that the FMC is authorized to set aside the procedures of the Hague Convention and the Shipping Act, which it is not, international comity would dictate otherwise in this case. We note that the Commission could, should it so choose, decline to address the issue of the FMC's statutory authority and instead decide the Appeal on the issue of comity remand the matter to the Presiding Officer with instructions to use the process set forth in Chapter II, Article 17.

The Supreme Court in *Aerospatiale* did not even give courts (much less the FMC) license just to ignore the Hague Convention and use the Federal Rules of Civil Procedure to bludgeon foreign governments into submission. Quite to the contrary, it directed the federal courts as follows:

American courts should therefore take care to demonstrate *due respect* for any special problem confronted by the foreign litigant on account of its nationality or the location of its operations, and for any sovereign interest expressed by a foreign state. 482 U.S. at 546 (emphasis added).

Accordingly, the Court “directed courts to engage in a comity analysis by scrutinizing ‘the particular facts, sovereign interests, and the likelihood that resort to [Hague

¹³ The Shipping Act allows for discovery by parties in a Commission adjudicatory proceeding under regulations “prescribed by the Commission that, to the extent practicable, shall conform to the Federal Rules of Civil Procedure (28 App. U.S.C.).” 46 U.S.C. 41303(a)(2). But this provision does not (and indeed cannot) confer the broad authority of the judicial branch on the Commission, an independent executive branch agency and creature of statute.

Convention] procedures will prove effective,” in deciding whether to use the Hague procedures in a particular case. *Behrens v. Arconic, Inc.*, 2020 U.S. Dist. Lexis 44581 at *14 (E.D. Pa. 2020).

Justice Blackmun, writing for himself and Justices Brennan, Marshall, and O'Connor (concurring and dissenting), stated the concern even more emphatically:

Some might well regard the Court's decision in this case as an affront to the nations that have joined the United States in ratifying the Hague Convention Experience to date indicates that there is a large risk that the case-by-case comity analysis . . . will be performed inadequately and that the unfamiliar procedures of the Convention will be invoked infrequently. . . . I therefore would employ a general presumption that, in most cases, courts should resort first to the Convention procedures. *Id.* at 548-49.

Justice Blackmun's concern about "an affront" to other signatories is well founded in this instance. As evidenced by the expert testimony of Alexander Blumrosen in a recent Florida District court proceeding (Exhibit 7), French authorities consider the Order to be an incursion on their sovereign interests. This is especially unnecessary given that use of Chapter II, Article 17, is almost certain to provide MTL with the documents it seeks, and to do so promptly.

In addition to directing courts to give particularized scrutiny to issues of comity, *Aerospatiale* identified specific factors that courts should consider before declining use of the Hague Convention. Under the circumstances of the motion, which mainly sought an extension, neither Respondent nor Complainant had a meaningful opportunity to address these factors. The Presiding Officer, however, proceeded to consider the specified factors without such input, in what can only be described as a very brief recitation, rather than the particularized inquiry required by the Court. CMA believes that, due to the lack of any briefing, the Presiding Officer

misunderstood at least one of the factors and otherwise performed the calculus entirely wrong. Accordingly, CMA uses this Appeal as a first opportunity to address the *Aerospatiale* factors.

1. The importance to the litigation of the documents. Without denying that Complainant is entitled to a universe of responsive documents, CMA believes that the Complainant already has most of the documents it requests. Exhibit 5. As the Presiding Officer correctly assumed, the requested discovery includes “bills of lading, emails, and other transportation documents related to these eight containers.” Complainant already has or can get from its associated parties (such as consignees) all of these documents. It is a party to the bills of lading, so necessarily has (or had) the bills. The same is true of all other transportation documents, given that MTL was the shipper. As to emails, Complainant obviously has or should have every email between it and CMA. Other potentially relevant emails might be between CMA and other parties affiliated or associated with MTL, such as its consignees and agents. Despite this, CMA is fully prepared to re-produce the documents, as long as it can do so without violating French law.

In any event, this factor is not really at issue here, as CMA proposes to produce documents, important or not (subject to its prior objections as to overbreadth, relevance, privilege, etc.), and to do so by a procedure that expedites their production to MTL.

2. The degree of specificity of the request. The Presiding Officer appears to mistakenly believe that this factor relates to the specificity of CMA’s request to follow the procedures of Hague Convention, as opposed to the specificity of the discovery request from MTL. Order at 4. This is simply wrong. See, e.g., *Laydon v. Mizuho Bank, Ltd.*, 183 F. Supp. 3d 409, 412, 2016 U.S. Dist. LEXIS 57753 *33 (S.D.N.Y. 2016); *Wultz v. Bank of China Ltd.*, 910 F. Supp. 2d 548, 556, 2012 U.S. Dist. LEXIS 159764, *18-19 (S.D.N.Y. 2012); *Strauss v. Credit*

Lyonnais, S.A., 242 F.R.D. 199, 212, 2007 U.S. Dist. LEXIS 38378, *38 (E.D.N.Y. 2007). As to MTL’s discovery request, it is not at all specific, but instead both blunderbuss in approach and multiply redundant. As noted above, CMA in fact objected to much of the requested discovery on grounds of overbreadth, irrelevance, redundancy, and Complainant’s own possession of the requested information.¹⁴ See, e.g., *Behrens*, supra, at *17 (broad request for documents “favors use of the Hague Convention”); *Salt River*, supra, 303 F. Supp. 3d at 1008 (“broad, generalized requests for information weigh in favor of using Hague procedures”); *Id.* at 1009:

(“The Court cannot conclude that production under the [in place Mandatory Initial Discovery Pilot project] is narrowly tailored for purposes of this analysis. It is a broad requirement for the production of relevant information. This factor weighs in favor of using the Hague procedures”).

Even if the proper issue under this factor was the scope of CMA’s motion to use the procedures required by French law, rather than the scope of MTL’s discovery request, the Presiding Officer is flatly incorrect in asserting that CMA asked her “to block all discovery related to those containers.” Order at 4. Quite the opposite, CMA in its motion made clear that it was not trying to block anything, but rather was only trying to produce the documents in accordance with the requirements of French law. As previously explained, it is highly unlikely that French authorities will restrict production of a single document (and CMA has never suggested that they do so), but CMA is required under penalty of imprisonment or fine to go through the procedural steps required by French law before it may actually transmit the documents to Complainant.

¹⁴ MTL’s Requests (served February 6, 2023) and CMA’s responses are attached at Exhibit 5.

3. Whether the information originated in the United States. Some of the requested documents most likely originated in the United States. Others did not. But that is simply irrelevant to the analysis. French Evidence Law does not differentiate -- CMA will be punished even if CCA is the one producing documents because the French Evidence Law is tied to (1) French persons/ companies, and (2) the data they own/control. The inquiry is thus to whom the information "belongs," and French authorities have already ruled that the data are owned by and belong to CMA.

4. The availability of alternative means of securing the information. As already noted, and detailed above in Part IIB, the gravamen of CMA's motion is that there exist alternative methods for MTL to obtain all its requested discovery. Further, the specific method proposed by CMA --appointment of Professor Lenoir as Commissioner -- will yield documents much more quickly than the current path,¹⁵ and without need for potential judicial intervention. It has accordingly been adopted by federal district courts as a suitable alternative in *Behrens* and *Salt River*; supra; see also, *De Fernandez, et. al*, supra.

5. The extent to which noncompliance with the request would undermine important interests of the United States, or compliance with the request would undermine important interests of the state where the information is located. The Presiding Officer correctly identified this as perhaps the most important factor, but then entirely ignored the interests of France ("the state where the information is located"). As demonstrated by the letter from SISSE, those

¹⁵ We note in this respect that, had the Presiding Officer granted CMA's proposal to issue a letter of request, MTL would in all likelihood have received the documents already, making this unfortunate legal wrangling entirely unnecessary.

interests are quite strong. They have in other cases been deemed sufficient for this factor to favor use of Hague Convention procedures. As the court stated in *Salt River*, supra:

"By enacting the [French Evidence Law], France has expressed an ‘emphatic’ sovereign interest ‘in controlling foreign access to information within its borders, and in protecting its citizens from foreign discovery practices it views as antithetical to the French legal culture. . . . Unlike the U.S. interests, which are unlikely to be impaired if Hague procedures are used , this French interest may be impaired if the Court simply orders discovery. This factor weighs in favor of utilizing Hague procedures.” 303 F.3d at 1009.

To like effect, in *Behrens*, supra, the court found that France had an interest in protecting its citizens and that this “strongly favors” use of the Chapter II, Article 17 procedures. 2020 U.S. Dist. Lexis 44581 at *22-*26.

The Presiding Officer also failed to identify how or why the interests of the United States would be undermined, simply asserting it as self-evident.¹⁶ CMA, in contrast, does not believe that the interests of the United States would be undermined at all, much less in any “important” respect. All that is being asked is for the FMC to follow the procedures of Chapter II, Article 17 of the Hague Convention, then wait briefly for the documents to be produced. That is exactly what the United States signed up for when it entered into the Hague Convention. See, e.g., *Salt River*, supra, recognizing the U.S. interest in assuring equal discovery, but finding it inapplicable where Hague procedure would produce the requested information; *Behrens*, supra, categorizing the U.S. interest as “comparatively weak,” in the absence of specific compelling circumstances, such as enforcement of the antitrust laws. 2020 U.S. Dist. Lexis 44581 at *26-*27;

¹⁶ It is also difficult to understand how the interests of the United States could be undermined by use of the Hague Convention in this case – where documents will soon follow – but not by its use in a prior proceeding. *MCS Industries, Inc. v. Mediterranean Shipping Company, et al.*, 2022 FMC LEXIS 177 at *1 (FMC 2022). We understand the concept of consistency being a hobgoblin but note that Ralph Waldo Emerson’s words were expressly addressed only to “foolish” consistency, which would not seem to apply here.

C. Immediate Appointment of a Commissioner Under Chapter II, Article 17 of the Hague Convention is the Most Practical way to Timely Advance Discovery

As shown above, the Presiding Officer's reflexive rejection of the procedures available under the Hague Convention is contrary to both law and considerations of comity. But even if that were not the case, her decision is counterproductive and contrary to sound administrative policy.¹⁷

The procedures of Chapter II, Article 17 are described above in Part IIB and will not be repeated here. As there explained, the proposed appointment of a Commissioner (such as Professor Lenoir) is a simple matter that will result in prompt production of the discovery requested by MTL.¹⁸ Furthermore, CMA will itself pay for the use of this procedure.

In sum, the key policy question is whether the Commission wants to: (i) delay the proceeding by up to several years while CMA fights the Order here and potentially before the courts (as CMA will not willingly take action that subjects its personnel to imprisonment and/or fines) or (ii) use the procedures of Chapter II, Article 17 of the Hague Convention, so that responsive, non-privileged documents may be produced soon. To ask this question is to answer it.

¹⁷ It is also inconsistent with the Presiding Officer's decision in another case finding "... a Letter of Request under the Hague Convention is the most appropriate and efficient process for obtaining the needed information." *MCS Industries, supra*, 2022 FMC LEXIS 177 at*1. We understand that the Presiding Officer may have been disappointed in the results that were obtained in that proceeding, but that does not justify a 180-degree turnabout in this proceeding, where it strongly appears that resort to a request for a letter requesting cooperation will be not only successful, but also in short order.

¹⁸ Ironically, had the Presiding Officer requested French cooperation instead of issuing the Order, MTL would likely have the documents by now, and almost certainly before this appeal can be decided. Her decision not to do so now sets the stage for prolonged disputes over discovery, without ever getting to the substance, which can be totally avoided by appointing a Commissioner under the Hague Convention.

CONCLUSION

For the reasons stated above, Respondent respectfully requests that the Commission:

(i) vacate the Presiding Officer's Order of March 28, 2023; and (ii) either order¹⁹ or instruct the Presiding Officer to order the appointment of Professor Lenoir as a Commissioner to review evidence to be produced by Respondent under Chapter II, Article 17 of the Hague Convention, at the expense of Respondent.

Dated: April 7, 2023

Respectfully submitted,

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¹⁹ A draft Order of the Federal Maritime Commission Appointing Professor Noëlle Lenoir to Serve as Commissioner Pursuant to Chapter II, Article 17 of the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters is included herewith (Exhibit 9).

CERTIFICATE OF SERVICE

I certify that on the 7th of April, 2023, a true and correct copy of the foregoing document was served by email on all Counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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